

Tata Steel Ltd | Materials | FY 2024-03

TATASTEEL | Nifty 100 Investment Tearsheet

229,171

Revenue (Rs Cr)

-4,910

Net Profit (Rs Cr)

9.7

Operating Margin (%)

-5.4

Return on Equity (%)

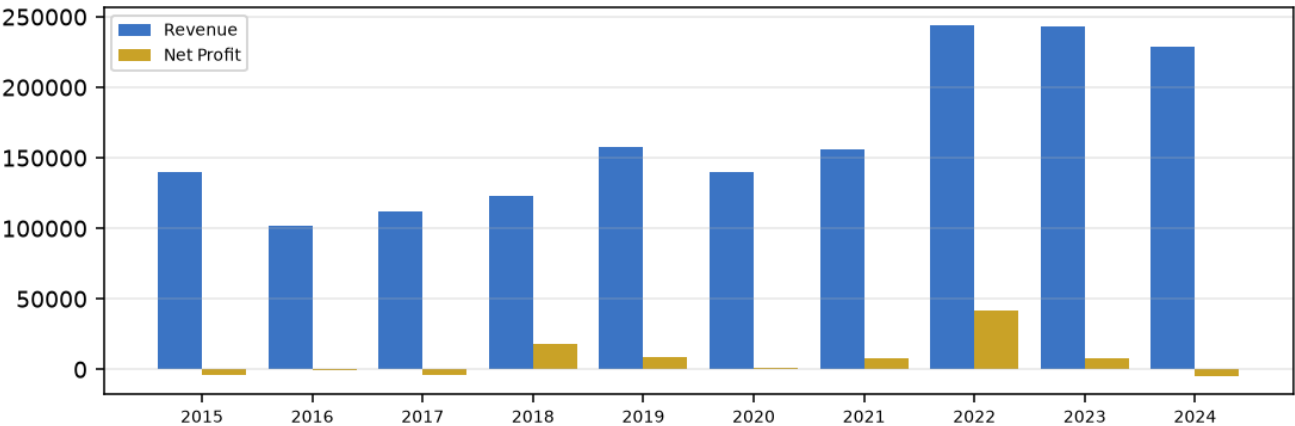
13.8

Return on Capital (%)

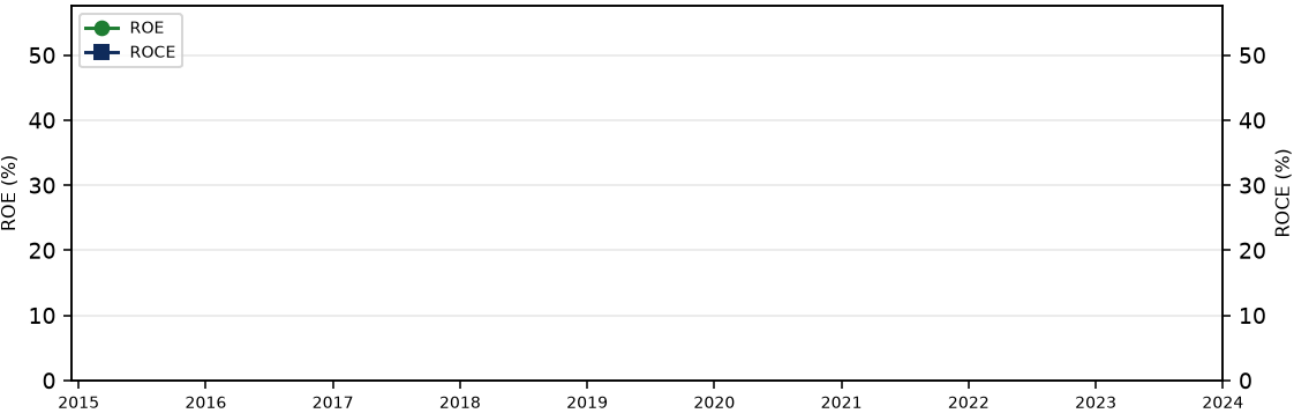
1.10

Debt / Equity

10-Year Revenue vs Net Profit (Rs Cr)



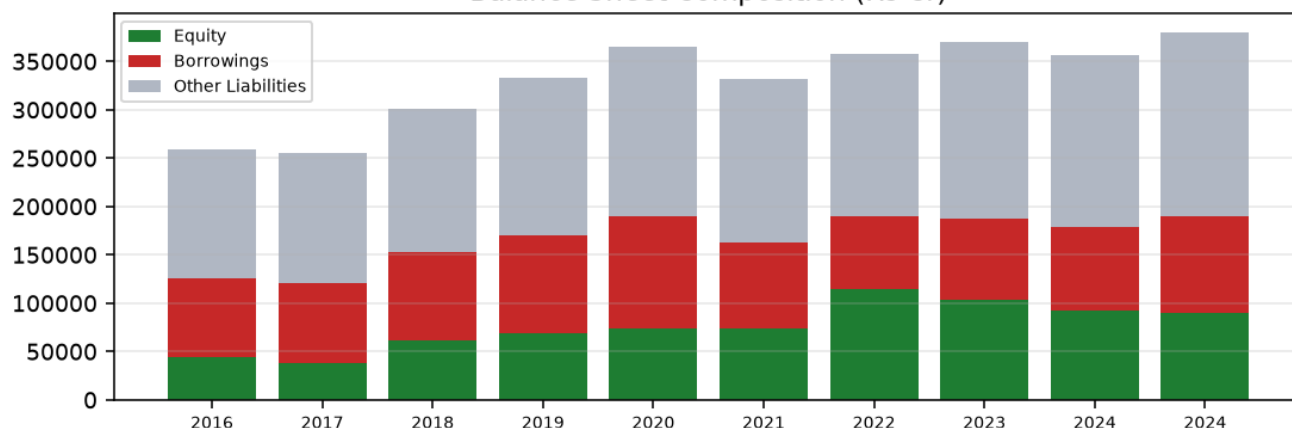
Return on Equity vs Return on Capital



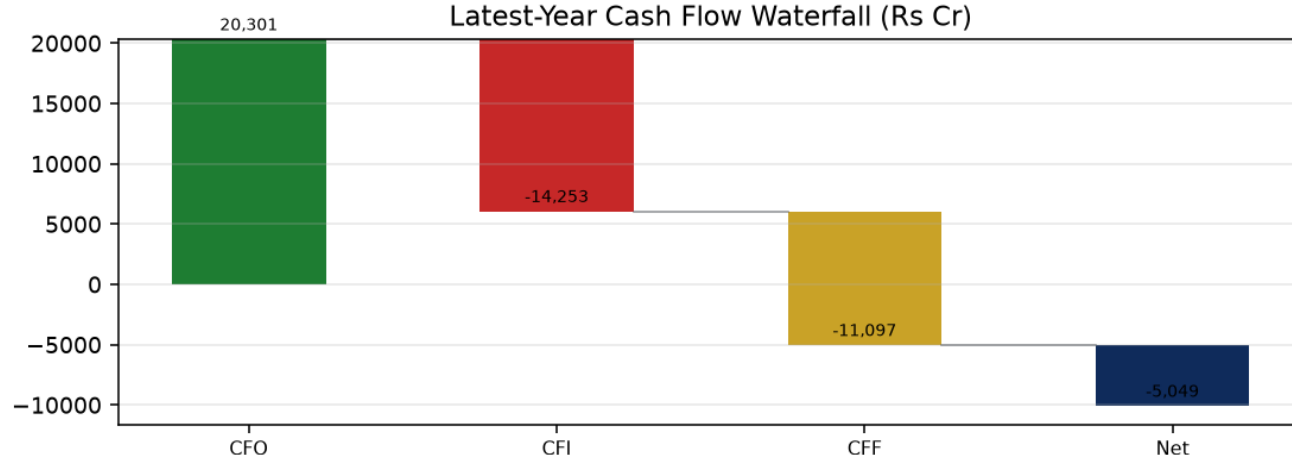
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Balance Sheet Composition (Rs Cr)



Latest-Year Cash Flow Waterfall (Rs Cr)



Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Company reported a net loss in the most recent financial year
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt of 92921 cr exceeding 3 times EBITDA (3.56x) limits financial flexibility

Capital Allocation: Reinvestor